

OE-EC804C — Organizational Behavior

Module 1: Introduction to Organization & Organizational Behavior

Target Audience: MAKAUT B.Tech ECE 8th Semester | Compiled by Biraj Sarkar (CGEC)

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1 Meaning and Definition of Organization

An **Organization** is a structured social entity consisting of a group of people working together in a coordinated manner to achieve specific, pre-determined organizational goals and objectives.

Definition of Organization

An **Organization** is a consciously coordinated social unit, composed of two or more people, that functions on a relatively continuous basis to achieve a common goal or set of goals (Stephen P. Robbins).

1.1 Key Components of an Organization

Every modern engineering or corporate organization comprises four essential elements:

1. **People:** The human resource (employees, managers, leaders) who form the internal social system.
2. **Structure:** The formal relationships, roles, hierarchy, and division of authority that dictate how work is divided and coordinated.
3. **Technology:** The physical tools, machinery, software algorithms, processes, and techniques used to transform inputs into outputs.
4. **Environment:** The external political, economic, social, technological, legal, and ecological (PESTLE) forces operating outside the organizational boundary.

1.2 Formal vs. Informal Organizations

Organizations operate through two parallel structural dimensions:

Feature	Formal Organization	Informal Organization
Origin & Creation	Deliberately established by top management via official policies & org charts.	Spontaneously formed by employees based on personal relationships & common interests.
Structure	Well-defined, rigid hierarchy of authority and delegated positions.	Unstructured, flexible, and fluid social network.
Communication Channel	Official channels (chain of command, memo, email protocols).	Unofficial channel (grapevine, social chatter, coffee breaks).
Primary Focus	Goal achievement, productivity, efficiency, and task execution.	Individual social satisfaction, belongingness, and emotional support.
Leadership	Appointed managers with legitimate positional power.	Natural/informal leaders emerging from group acceptance and charisma.

2 Features and Principles of Organization

2.1 Key Features of an Organization

- **Division of Labor:** Complex tasks are broken down into specialized jobs to optimize productivity.
- **Hierarchy of Authority:** A scalar chain of command defining superior-subordinate reporting lines.
- **Common Objectives:** Alignment of individual and departmental activities toward overarching organizational goals.
- **Coordination:** Systematic integration of diverse departmental efforts to eliminate redundancy.
- **Continuity & Permanence:** Designed to exist beyond the tenure of individual founders or employees.

2.2 Henri Fayol's Principles of Management / Organization

Classical administrative theory, articulated by **Henri Fayol**, lays down fundamental principles for organizing enterprises:

Core Administrative Principles (Fayol)

1. **Division of Work:** Specialization increases output by making employees more efficient.
2. **Authority & Responsibility:** Right to give orders backed by obligation to answer for outcomes.
3. **Unity of Command:** Each subordinate receives orders from **one and only one** superior.
4. **Unity of Direction:** One head and one plan for a group of activities having the same objective.
5. **Scalar Chain:** The unbroken chain of authority extending from top executive to lowest level.
6. **Span of Control:** The optimal number of subordinates a manager can directly supervise effectively.

3 Organizational Structures

An **Organizational Structure** defines how tasks are formally divided, grouped, and coordinated across departments and management levels.

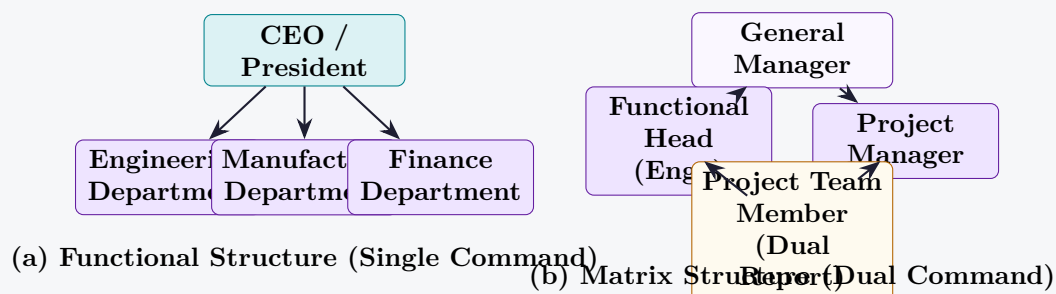
3.1 Types of Organizational Structures

1. **Functional Structure:** Grouping employees into departments based on specialized skills/functions (e.g., R&D, Engineering, Marketing, Finance, HR).
2. **Divisional Structure:** Self-contained units organized around products, geographic regions, or customer segments.
3. **Matrix Structure:** A dual-authority structure combining functional departments with project/product teams. Employees report to both a Functional Manager and a Project Manager.
4. **Line and Staff Structure:** Combines direct operational line managers (with command authority) with staff specialists (advisors providing legal, technical, or HR support).

3.2 Structural Comparison: Functional vs. Matrix Structure

Attribute	Functional Structure	Matrix Structure
Chain of Command	Single reporting line (Unity of command maintained).	Dual reporting line (Violates unity of command).
Resource Sharing	High functional specialization; low cross-functional sharing.	Dynamic sharing of specialists across multiple project teams.
Flexibility	Rigid, slow response to market shifts.	Highly adaptive and responsive to complex project demands.
Conflict Potential	Low internal role ambiguity; potential silo formation between functions.	High potential for authority conflict between functional & project managers.
Cost Efficiency	High economies of scale within functional departments.	Higher administrative overhead due to dual managerial roles.

Comparison of Functional and Matrix Organizational Structures



4 Nature and Scope of Organizational Behavior (OB)

Organizational Behavior (OB) is an applied behavioral science field that investigates the impact of individuals, groups, and organizational structure on behavior within organizations, for the purpose of applying such knowledge toward improving organizational effectiveness.

Nature of Organizational Behavior

OB is a **multidisciplinary field** drawing concepts from Psychology (individual level), Sociology & Social Psychology (group level), and Anthropology & Political Science (organization system level). It is humanistic, goal-oriented, and science-backed.

4.1 The 5 Fundamental Models of Organizational Behavior

Organizational culture and managerial philosophy dictate the dominant OB model adopted by a firm:

Dimension	Autocratic	Custodial	Supportive	Collegial	System
Basis of Model	Power / Authority	Economic resources	Leadership	Partnership	Community
Managerial Orientation	Authority	Money / Benefits	Support	Teamwork	Nurturing
Employee Orientation	Obedience	Security & Benefit	Job performance	Responsibility	Self-discipline
Employee Psychological Result	Dependence on boss	Dependence on organization	Participation	Self-actualization	Passion & Commitment
Employee Needs Met	Subsistence (Basic)	Security	Esteem	Self-actualization	Higher-order needs

Quick Revision — Module 1

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Key Concepts and Metrics at a Glance

Organization	Social entity consciously coordinated to achieve pre-determined common goals.
Formal vs Informal Org	Official hierarchical structure vs. spontaneous personal social network (grapevine).
Fayol's Unity of Command	Principle stating each employee reports to one and only one direct manager.
Matrix Structure	Dual-authority structure combining functional specialization with project teams.
OB Field Basis	Multidisciplinary study of individual, group, and structural impact on behavior.
5 OB Models	Autocratic (Power), Custodial (Security), Supportive (Leadership), Collegial (Teamwork), System (Community).

One-Line Definitions for Exam Revision

- **Span of Control:** The maximum number of subordinates a manager directly and effectively supervises.
- **Grapevine:** The informal, unofficial communication channel operating within an organization.
- **Scalar Chain:** The unbroken vertical chain of command from highest executive to lowest worker.
- **Organizational Structure:** The formal framework defining how job tasks are divided, grouped, and coordinated.

Frequently Asked / Viva Questions

1. Define an Organization. What are its core components?

An organization is a consciously coordinated social unit of two or more people working continuously toward common goals. Its core components are People, Structure, Technology, and Environment.

2. Differentiate between Formal and Informal Organizations.

Formal organizations are officially created by management with rigid hierarchies and written rules. Informal organizations emerge spontaneously among employees to fulfill personal social needs.

3. What is Fayol's Unity of Command principle? Why is it important?

It states that an employee should receive orders from only one manager. It prevents dual-subordination conflict, confusion, and responsibility shifting.

4. Explain the Matrix Organizational Structure and its major drawback.

A matrix structure combines functional departments with project teams, creating a dual reporting line. Its main drawback is potential conflict of authority between functional and project managers.

5. What is Organizational Behavior (OB)?

Frequently Asked / Viva Questions (contd.)

OB is an applied behavioral science field studying how individuals, groups, and organizational structures influence behavior, aiming to enhance organizational performance.

6. List the 5 primary models of Organizational Behavior.

Autocratic (power-based), Custodial (money-based), Supportive (leadership-based), Collegial (teamwork-based), and System (community-based).

7. What is Span of Control? Distinguish between Tall and Flat structures.

Span of control is the number of direct subordinates under a manager. A narrow span produces a Tall structure (many hierarchy levels); a wide span produces a Flat structure (few hierarchy levels).

8. How does Psychology contribute to Organizational Behavior?

Psychology provides theories on individual behavior, learning, personality, perception, motivation, and job satisfaction.

9. What is the difference between Line and Staff managers?

Line managers have direct command authority over operational tasks; Staff managers act as advisors providing specialized technical, legal, or HR guidance.

10. Which OB model is oriented towards meeting employee security needs?

The Custodial model, which relies on economic resources and benefits to fulfill employee safety and financial security needs.